

Sovereign Scale

Omni-Channel Digital & Operational Transformation

Zephyr Coffee Co. · Specialty Coffee & FMCG · Wellington & Auckland, NZ

12-Week Strategic Diagnostic & Blueprinting Engagement

This is an independent demonstration engagement built to show consulting capability — not a commissioned client project. The company name and identifying details are fictionalized; the frameworks, diagnostics, and strategic architecture are real.

\$10.19M

Revenue target

17%

Net margin target

35/wk

Admin hours recovered

<2%

D2C churn target

Executive Summary

Zephyr Coffee Co. is a highly regarded New Zealand specialty coffee brand generating \$6.2M NZD annually. Despite strong regional market penetration and an exceptional product, the business was approaching a critical scaling threshold. Growth of 18% YoY was paradoxical: every new B2B client exponentially increased administrative burden. Core systems (Shopify, Lightspeed, HubSpot, Xero) were siloed, forcing staff to manually transcribe wholesale orders, while corrupted GA4 tracking meant the D2C marketing budget was being deployed on faulty data — and the core manufacturing IP existed entirely as tribal knowledge inside the Head Roaster.

The objective: transition Zephyr from a founder-led, manually operated regional roaster into a highly automated, data-driven national enterprise capable of safely executing an Auckland expansion without eroding net margins. The resulting blueprint replaces manual data entry with n8n/Make middleware, introduces a self-serve B2B portal, deploys LLM-driven Tier-1 customer support, and establishes a single-source-of-truth data warehouse — clearing the bottlenecks needed to scale revenue to a projected \$10.19M NZD within three years while lifting net margin from 14% to 17%.

About the Client

- **Founded** 2016, based in Petone, Wellington.
- **Products:** specialty roasted coffee beans (wholesale and retail), premium brewing equipment, ready-to-drink concepts.
- **Services:** B2B commercial machine servicing, barista training, corporate “Coffee-as-a-Service.”
- **Customers:** premium independent cafés, corporate offices, and “Coffee Nerd” D2C home brewers.
- **Business model:** omni-channel — B2B Wholesale (45%), B2C Retail Cafés (35%), D2C E-commerce & Subscriptions (20%).
- **Competitive position:** “Scalable Premium” — more operationally reliable than micro-roasters, higher quality than mainstream conglomerates.

The Business Challenge

- **Strategic:** an Auckland distribution hub was planned while the Petone roastery already sat at 85% capacity, heavily reliant on manual admin.
- **Operational:** B2B orders arrived via WhatsApp/email and were manually keyed into Xero, taking 15–20 minutes per order and bottlenecking fulfillment.
- **Marketing:** high customer acquisition cost driven by broad Meta targeting and over-reliance on top-of-funnel discounts.
- **Digital:** a clunky Shopify subscription portal caused systemic churn at the 3-month mark.
- **Technology & analytics:** “spaghetti” data architecture; a broken GA4 integration double-counted purchases, so leadership was steering the business on corrupted ROAS metrics.
- **Growth constraint:** without digitizing the B2B engine and standardizing roastery SOPs, Auckland expansion would require a linear rise in administrative headcount, crushing the 14% net margin.

Why this matters: expanding a broken system merely scales the friction. Throwing more marketing budget at a leaky subscription funnel, or adding more B2B clients to a manual processing pipeline, would inevitably lead to cash flow exhaustion and brand degradation.

Discovery Phase

A rigorous, hypothesis-driven methodology was used to diagnose root causes:

- **Stakeholder interviews:** deep-dive sessions with the CEO, COO, Head Roaster, and front-line support staff to map undocumented workflows.
- **Business & process analysis:** shadowed the B2B fulfillment cycle, quantifying 35 labor-hours/week lost to manual transcription.
- **Digital & marketing audit:** technical audit of Shopify architecture, Core Web Vitals, and GA4 tag configuration.
- **Customer research:** analyzed Zendesk ticket histories and Shopify churn data, pinpointing D2C subscription drop-off at days 60–75.
- **AI readiness assessment:** evaluated data cleanliness — AI could not be responsibly deployed until foundational APIs and data lakes were secured.

Key findings

- **Strategy:** the Auckland ambition was sound, but the operational foundation was too brittle to support it.
- **Marketing:** ~40% of conversions were invisible to Meta due to iOS privacy changes and no server-side tracking.
- **Operations:** 100% of B2B orders required human data entry; roasting IP was entirely tribal knowledge.
- **Technology:** zero integration between Lightspeed POS, Shopify, HubSpot, and Xero.
- **Customer experience:** D2C subscribers found it easier to cancel than to pause.
- **Finance:** the 14% net margin was at risk of compression from inflation and rising green bean costs.
- **AI & analytics:** AI maturity Level 1 (ad-hoc); analytics maturity 1.5, run on fragmented CSV exports.

Strategic Analysis

- **Porter's Five Forces:** buyer power in B2B is mitigated by commercial equipment loan contracts, making client acquisition highly valuable (high switching costs).
- **VRIO:** Zephyr's direct-trade relationships and roasting quality are valuable and rare, but not sufficiently organized to scale without digital SOPs.
- **Value Chain:** the primary margin bleed occurred at the handoffs between inbound logistics, operations, and outbound sales — the manual transcription phase.
- **Ansoff Matrix:** validated “Market Development” (Auckland B2B hub) and “Product Development” (corporate CaaS) as the most viable growth vectors.

Insight: the competitive advantage lay in the physical product, but the competitive vulnerability lay entirely in the digital architecture.

Growth Strategy

- **Strategic objective:** \$10.19M NZD revenue and 17% net margin by Year 3.
- **Growth pillars:** digitize the B2B commercial engine; unify data architecture; optimize a retention-first lifecycle; extract and standardize roastery IP; accelerate geographic expansion.
- **Market expansion:** a hub-and-spoke logistics model — roast centrally in Petone, distribute via a new Auckland micro-hub.
- **Brand positioning:** defend the “Scalable Premium” intersection of artisanal rigor and enterprise-grade reliability.

Digital Transformation

- **Website:** stripped legacy Shopify scripts slowing mobile checkout; implemented Apple Pay/Shop Pay.
- **SEO & content:** shifted from vanity blogging to high-intent semantic clustering, with JSON-LD schema for AI-search readiness.
- **Customer journey:** redesigned post-purchase onboarding, pairing customers with brewing guides matched to their equipment.
- **CRO:** automated a one-click “pause for 30 days” option in Klaviyo at the critical day-60 churn window.

Paid Media Strategy

- **Google Ads:** deconstructed broad Performance Max campaigns; segmented asset groups by product margin with strict negative-keyword lists.
- **Meta Ads:** shifted to a 70/30 retention-vs-acquisition split, using HubSpot CRM data for high-fidelity lookalike audiences of successful B2B clients.
- **Measurement:** mandated GTM server-side tracking to restore algorithmic visibility lost to iOS updates, targeting a blended ROAS above 4.5x.

AI & Automation Transformation

- **B2B engine:** a Make/n8n middleware highway — an order through the new B2B portal automatically decrements Xero inventory, generates an invoice, logs the deal in HubSpot, and pushes a pick-list to the roastery, with zero human entry.
- **Customer support:** a ring-fenced Zendesk LLM trained strictly on Zephyr's return policy and shipping data, targeting 40% deflection of Tier-1 “where is my order” tickets.
- **Knowledge management:** the Head Roaster's IP (Cropster profiles, machinery diagnostics) digitized into a secure, retrieval-augmented internal vector database.
- **Forecasting:** a 12–24 month roadmap for predictive green-bean procurement models, factoring in sales velocity and shipping lead times.

Performance Measurement

- **Data architecture:** a hub-and-spoke model feeding Shopify, HubSpot, and Xero into Google BigQuery.
- **Executive dashboards:** a Power BI dashboard for the C-suite (net margin, B2B MRR, cash flow) and a Looker Studio dashboard for marketing (blended CAC, churn rate, server-side ROAS).
- **Continuous improvement:** a monthly business review using 5-Whys root-cause analysis for any KPI breaching predefined thresholds.

Expected Business Outcomes

- **Operational efficiency:** eliminating manual B2B entry recovers 35 hours/week of admin labor.
- **Revenue growth:** scalable infrastructure lets revenue compound at 18% YoY, targeting \$10.19M NZD by Year 3.
- **Margin expansion:** deflecting headcount requirements and optimizing freight lanes pushes net margin from 14% to 17%.
- **Customer retention:** automated Klaviyo intervention flows are projected to drop D2C monthly churn below 2.0%.
- **Decision quality:** real-time BigQuery data ends reliance on corrupted, fragmented spreadsheets.

Key Lessons & Reflection

- **Business lesson:** revenue growth without operational scalability is a liability — you cannot out-market a broken fulfillment system.
- **Marketing lesson:** data fidelity is the prerequisite to algorithm success; running ads on broken GA4 tags guarantees wasted spend.
- **Transformation lesson:** AI is not a strategy, it's an accelerant — it needs clean data, defined workflows, and stringent governance to function in an enterprise environment.
- **Consulting lesson:** effective consulting diagnoses the disease, not just the symptom. The symptom was “slow fulfillment”; the disease was “disconnected APIs.”

What went well: the architectural mapping of the n8n middleware solution bridged the operational constraint (manual Xero entry) directly to the strategic goal (Auckland expansion). Future investigation: trans-Tasman expansion into Australia would need its own feasibility work, weighing local roasting partnerships against exporting finished goods. Limitation: the forecasting models

assume relatively stable global shipping and green bean prices, which are increasingly volatile due to climate impacts in equatorial growing regions.

Portfolio Value

This engagement demonstrates capability across:

- **Business analysis & strategy:** dissecting a P&L, identifying operational margin bleed, and designing a multi-year growth roadmap with recognized frameworks (Porter, VRIO).
- **Digital architecture & SEO:** server-side tracking, GA4 remediation, semantic SEO intent clustering, frictionless CRO.
- **AI & automation:** practical, non-hyped application of middleware, CRM API webhooks, and secure LLM deployment for tangible ROI.
- **Executive communication:** translating complex technical data silos into clear, C-suite business cases focused on revenue, margin, and risk.
- **Commercial acumen:** a business-first, technology-second approach throughout.